



AGENDA REPORT

Agenda Item

Reviewed:

City Manager

Finance Director

10

Initial

AES

Initial

JL

MEETING DATE: DECEMBER 3, 2024

TO: ALDO E. SCHINDLER, CITY MANAGER

FROM: JENNIFER KING, FINANCE DIRECTOR/CITY TREASURER

SUBJECT: FISCAL YEAR 2023-2024 DEVELOPMENT IMPACT FEE REPORT
(ASSEMBLY BILL 1600)

SUMMARY:

The attached report is prepared to comply with California Government Code Section 66006, which requires an annual disclosure and review of collected development impact fees and expenditures within 180 days after the last day of the fiscal year.

RECOMMENDATION:

It's recommended that the City Council receive and file this report.

FISCAL IMPACT:

There is no direct fiscal impact associated with this item.

CORRELATION TO THE STRATEGIC PLAN:

The reporting and recommendation correlate to the City's strategic plan Goal A, Economic and Neighborhood Development, by reporting impact fees collected and their respective uses in developing infrastructure, parks, and improvements.

BACKGROUND AND DISCUSSION:

California's Assembly Bill 1600, also known as the Mitigation Fee Act (Government Code section 66000), was established in California on September 19, 1987. Assembly Bill 1600 requires local governments to create a developer impact fee program where the developers are charged fees for building new construction projects. These impact fees are meant to compensate local governments for infrastructure and public facilities that are necessary to support the increased demand resulting from new developments, such as roads, schools, parks, and public safety services.

The purpose of the Assembly Bill 1600 Developer Impact Fee Annual Report (Government Code 66006) is to provide the following information to the public:

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- **Identify and describe each type of fee:** The annual report must specify each type of development impact fee in effect during the reporting period. This includes fees for specific purposes like transportation, parks, public safety, or other infrastructure needs;
- **Amount of fees collected:** Local governments must report the total amount of fees collected during the reporting period for each fee category. This information helps to track the financial resources available for various infrastructure projects;
- **Beginning and ending balances:** The report should include the beginning and ending balances of each fee category's fund. This helps us to understand the collected fees carried over from previous years and how they were spent during the reporting period;
- **Amount of interest earned:** The annual report must disclose any interest earned from the fees collected. This interest should typically be used for the same purposes as the collected fees;
- **Amount of fees expended or to be expended and the expecting start date of the known improvement funded from the fees:** Local governments are required to detail the expenditures made or to be made from the collected fees. This includes specifying the projects and activities for which the fees are used and providing transparency on how and when the funds are spent;
- **Inter-fund transfers and loans:** The report must describe any impact fees that were used for transfers between city funds or for loans, if applicable; and
- **Amount of refunds made.** The report must identify the amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocations pursuant to subdivision (f) of Section 66001.

Furthermore, the Mitigation Fee Act requires an agency to make the following findings every five years:

- Identify the fee's purpose;
- Demonstrate a reasonable relationship between the fee and its purpose; and
- Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements in the fee program.

In summary, the Assembly Bill 1600 Developer Impact Fee Annual Report is essential for promoting transparency, accountability, informed decision-making, legal compliance, public participation, and data-driven planning in the collection and utilization of development impact fees in California. It helps ensure that the funds collected from developers are used for their intended purposes and benefit the communities affected by new construction projects.

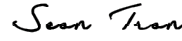
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Currently, the City of Tustin collects three (3) types of impact payments: Parks In-Lieu Fee, Marine Corps Air Station Legacy Backbone Infrastructure Fee, and Voluntary Workforce Housing Incentive Program In-Lieu Fee. The activities associated with these programs are captured within the respective dedicated funds. The attached report provides a detailed overview, including the purpose of each fee, the calculation methodology, fund activity and balance, a list of projects for the fiscal year ending June 30, 2024, and, where applicable, a five-year projection of projects utilizing the unexpended fees.

Signed by:

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Jennifer King
Director of Finance/City Treasurer

Signed by:

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Sean Tran, Deputy Director of Finance

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David Faraone
Senior Management Analyst

Attachment:

1. 2023-2024 Development Impact Fee Report



Remembering what connects us.

Development Impact Fee Report (AB 1600)
Fiscal Year Ended June 30, 2024

CITY OFFICIALS

ALDO E. SCHINDLER, CITY MANAGER
JUSTINA L. WILLKOM, DIRECTOR OF COMMUNITY DEVELOPMENT
JENNIFER KING, DIRECTOR OF FINANCE/CITY TREASURER
STUART A. GREENBERG, CHIEF OF POLICE
MICHAEL GRISSO, DIRECTOR OF PUBLIC WORKS
CHAD W. CLANTON, DIRECTOR OF PARKS AND RECREATION
DERICK L. YASUDA, DIRECTOR OF HUMAN RESOURCES
ERICA N. YASUDA, CITY CLERK

CITY ATTORNEY

DAVID. E KENDIG



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Legal Requirements for Development Impact Fee Reporting

California's AB 1600, also known as the Mitigation Fee Act (Government Code section 66000), was established in California on September 19, 1987. AB 1600 requires local governments to create a developer impact fee program when they impose various development impact fees on new construction projects. These impact fees are meant to fund infrastructure and public facilities that are necessary to support the increased demand resulting from new developments, such as roads, schools, parks, and public safety services. The purpose of the AB 1600 Developer Impact Fee Annual Report (Government Code 66006) is to address several critical needs:

- **Identify and describe each type of fee:** The annual report must specify each type of development impact fee that was in effect during the reporting period. This includes fees for specific purposes like transportation, parks, public safety, or other infrastructure needs.
- **Amount of fees collected:** Local governments must report the total amount of fees collected during the reporting period for each fee category. This information helps to track the financial resources available for various infrastructure projects.
- **Beginning and ending balances:** The report should include the beginning and ending balances of each fee category's fund. This helps us to understand how the collected fees were carried over from previous years and how they were spent during the reporting period.
- **Amount of interest earned:** The annual report must disclose any interest earned from the fees collected. This interest should typically be used for the same purposes as the collected fees.
- **Amount of fees expended or to be expended and the expecting start date of the known improvements funded from the fees:** Local governments are required to detail the expenditures made or to be made from the collected fees. This includes specifying the projects and activities for which the fees are used and providing transparency on how and when the funds are spent.
- **Administrative costs:** The annual report should include information about any administrative costs associated with the collection and management of development impact fees. This helps to ensure that the fees collected are primarily used for infrastructure improvements rather than administrative expenses.

In summary, the AB 1600 Developer Impact Fee Annual Report is essential for promoting transparency, accountability, informed decision-making, legal compliance, public participation, and data-driven planning in the collection and utilization of development impact fees in California. It helps ensure that the funds collected from developers are used for their intended purposes and benefit the communities affected by new construction projects.

Currently, the City of Tustin collects three (3) types of impact payments: Parks In-Lieu Fee, MCAS Legacy Backbone Infrastructure Fee, and Voluntary Workforce Housing Incentive Program In-Lieu Fee. The activities associated with these programs are captured within the dedicated funds for each fee. The attached report provides a detailed overview, including the purpose of each fee, the calculation methodology, fund activity and balance, a list of projects for the fiscal year ending June 30, 2024, and, where applicable, a five-year projection of projects utilizing the unexpended fees.



Fund 131 – Park Development (Non-Legacy)

History & Description

Tustin is proud of its extensive park system, comprising numerous passive and active parks featuring a variety of amenities, such as a lemon tree orchard, hilltop gazebos, outdoor fitness equipment, and sand and grass volleyball courts. Our community is meticulously planned with a focus on fostering recreation spaces that promote gatherings and engagement, ultimately contributing to the development of strong community connections.

On March 2, 1981, Tustin City Council approved Ordinance No. 841 establishing regulations for dedication of land, payment of fees, or both for park and recreation land in subdivisions.

The Park Development Fee serves as a crucial mechanism for the City to address the growing demand for recreational spaces and green areas. In rapidly developing environments, allocating land for parks can become challenging. This fee allows developers to contribute financially instead, ensuring that the City can fund and create parks, enhancing the overall quality of life for residents and promoting a healthier, more sustainable landscape.

Calculation

The Park Development Fee is calculated on a per-unit basis for each project, reflecting the fair market value of land required for park purposes. The value shall be determined by a Master Appraisal Institute (MAI) appraiser acceptable to the City and at the expense of the subdivider.

Downtown Commercial Core Specific Plan (DCCSP): The fee shall be based upon the fair market value of the amount of land that would otherwise be required for dedication.

Red Hill Avenue Specific Plan (RHASP): Calculate the amount of land that would otherwise be required for dedication: (# of Dwellings) x (0.003 Acre/Person) x (2.24 Person/Dwelling Unit) Afterwards multiply the amount of land computed required for dedication by \$2,500,000/Acre.

Fund Activity

	2023-2024 Actual
Beginning Balance	-
Revenue:	
Allocated Interest ¹	-
Inclusionary Housing Fee	-
Rental Income	
Expenses:	
Projects	-
Ending Fund Balance	-

2023-2024 Projects

No reportable projects or activity during fiscal year 2023-2024.

Future Activity

There are currently no planned projects using Park Development Fees.



Fund 187 – MCAS Legacy Backbone Infrastructure

History & Description

The Tustin Legacy Backbone Infrastructure Program (TLBIP) is part of a comprehensive financing and construction program to ensure the completion of needed backbone infrastructure necessary to accommodate development within the former Marine Corps Air Station (also referred to as the Tustin Legacy Project), which includes properties within the City of Tustin, the City of Irvine, and all properties within the MCAS Tustin Specific Plan ("Specific Plan") area.

The purpose of the TLBIP is to facilitate early completion of improvements when needed, provide for a method of financing the backbone infrastructure network, make provision for development where certain Tustin Legacy backbone infrastructure is required as a condition of development, and ensure that new development is in balance with adequately serving backbone infrastructure. The TLBIP is based in part upon the environmental mitigation measures contained in the Final Joint Environmental Impact Statement/Environmental Impact Report for the Disposal and Reuse of the Former Marine Corps Air Station Tustin (the Final EIS/EIR, as subsequently amended), the MCAS Specific Plan and Tustin General Plan, the corresponding Master Development Plan and Design Guidelines for the Tustin Legacy Project, and approved Concept Plans and entitlements granted for development within the Tustin Legacy Project, including subsequent amendments thereto.

The TLBIP is periodically adjusted based on updated regulatory requirements, actual costs of construction to complete backbone elements, and estimated construction cost inflationary increases. The TLBIP identifies certain required backbone infrastructure improvements needed to serve future development within the Tustin Legacy Project along with the corresponding source documents, such as, but not limited to, the Final EIS/EIR and Specific Plan, as may have been amended, which identify the level of development that can be accommodated upon their completion. Through the TLBIP, the phasing of future development can also be linked to the phasing of the required backbone infrastructure.

The TLBIP requires all new private development within the Tustin Legacy Project to pay a fair share contribution of the required Tustin Legacy backbone infrastructure or to design and construct TLBIP improvements, and/or a combination, as agreed to by the City and the developer. The fair share contributions correlate to actual costs for improvements which include necessary funding for engineering and construction costs of backbone infrastructure improvements, the City's administrative and construction management expenses related to such backbone infrastructure improvements, and any plan checking, inspection, and permitting expenses. The TLBIP does not include maintenance or operational costs for said backbone infrastructure improvements.

Calculation

Tustin Legacy Backbone Infrastructure Program (TLBIP) Fair Share Contribution Process

Property sales agreements, disposition and development agreements, ground lease agreements, development agreements, and/or other transaction agreements, shall be utilized to implement the TLBIP. The program has distinct separate fair share contributions for different disposition packages and/or planning areas. The fair share contributions for each development area have been allocated based on the comprehensive methodology identified in a 2017 analysis prepared by David Taussig & Associates.

Developers, landowners or lessees would enter into agreements with the City to design and construct, provide cash, or debt financing for their TLBIP Fair Share Contributions. If the City Council is willing to participate in the



issuance of Community Facilities Districts (CFDs) based on, and in anticipation of, a receipt of bond proceeds, the City may allow a developer/landowner to defer payment of its Fair Share Contribution, provided that the deferral of the Fair Share Contribution is secured by a performance bond or letters of credit in a form approved by the City. If TLBIP improvements are determined to be needed, at the City's sole discretion, the City could request an advance from the developer before bond proceeds are available or, in the event of the developer's failure to be responsive, the City could call on the performance bonds or letters of credit.

Developers/landowners/lessees who participate in funding the design and construction of TLBIP improvements will receive credit toward payment of their Fair Share Contributions to the extent that such improvements are within the TLBIP, costs are approved by the City, and such cost of improvements are equal to the development site's Fair Share Contribution. Any credit procedure will be identified in a Reimbursement Agreement upon the City receiving a performance bond or letters of credit securing the obligation for design and construction.

Credits may be transferred to the subsequent developer/landowner/lessees for a particular development area with the transfer of title to the land or ground lease interest. However, transfer of credit between participating developers/landowners, where title to the land or ground lease interest is proposed to be transferred, shall be first approved in writing by the City.

The current TLBIP outlines the estimated cost of constructing an improvement, including labor, materials and equipment costs; the reasonable cost of designing and preparing the plans, including engineering services which generally are approximately 10% of construction costs (there are a few minor exceptions for more complex improvement items); estimated fees paid to governmental agencies in order to obtain permits, licenses or other necessary governmental approvals; and reviews and costs for professional services directly related to the construction, including engineering, legal, accounting, inspection, construction staking, materials, testing and similar professional services, which costs would not exceed 5% of construction costs; construction management services, which costs would not exceed 5% of construction costs; and costs of payment, performance or maintenance bonds and insurance including any title insurance). Each item of authorized costs includes only amounts actually paid to third parties and does not include overhead or other internal expenses.

Exemptions

All disputes regarding the applicability of whether Fair Share Contributions are required for specific projects or the exemption of a project from Fair Share Contributions requirements shall be presented to the City of Tustin City Manager for resolution.

Government-owned facilities and utilities shall be exempt from payment of Fair Share Contributions to the extent that the facilities shall not be used for generating revenue or commercial purposes. Examples of exempt public uses are city halls, parks and park buildings, and other public buildings. Private possessory interests and private development on public property not owned by the City of Tustin will not be exempt from payment of any required Fair Share Contributions. Updates to the TLBIP may need to occur incrementally to reflect a redistribution of Fair Share costs when these circumstances arise.

Application of Fair Share Contributions

When Fair Share Contributions are collected prior to the time of a first building permit being issued within a Disposition Package or planning area, the Fair Share Contribution shall be determined based on the authorized entitlements of development within an individual Disposition Package or planning area based on the Fair Share Analysis.



In the event that a developer/landowner intends to request an intensification of the land uses identified in the Fair Share Analysis for a Disposition Package or Planning Area, the Fair Share Contribution will be recalculated by the City based on the net increase in building area by land use type being proposed.

Notwithstanding property tax exemptions, government-owned or constructed facilities including but not limited to counties and cities that will generate revenue or be leased for commercial purposes shall be required to make a Fair Share Contribution towards the TLBIP. Examples of this include the revenue generating portions of airports, train stations, sports arenas, convention centers, bus terminals, hotels, or concessions on public lands. In the event that the construction of these facilities is not currently known, and is an expansion of an existing use, the Fair Share Contribution shall be determined by the City based on the net increase of building area and type of land use.

Fair Share Contributions are limited to capital improvements that expand system capacity and shall not be spent on maintenance, personnel training, or other operating costs.

Rights of Way

Rights-of-Way for the TLBIP are assumed to be dedicated to the City by developers/landowners in conjunction with the development where required by the City or may have already been acquired or reserved by the City. Consequently, the costs for Rights-of-Way have not been included in the TLBIP with the exception of minor arterial increments that were in the City of Irvine and needed to complete a missing link or intersection improvement as originally shown in the TLBIP. Rights-of-Way dedications are therefore not creditable towards Fair Share Contributions.

Fund Activity

	2023-2024 Actual
Beginning Balance	\$15,569,880
Revenue:	
Allocated Interest ¹	670,938
Developer Contributions	-
Miscellaneous Reimbursement	-
Expenses:	
Projects	4,811,884
Ending Fund Balance	11,428,934

¹ Allocated Interest includes Unrealized Gain/Loss.

2023-2024 Projects

20083 Tustin Legacy Linear Park - 2023-2024 Expended \$391,692

Design and construction of Tustin Legacy Linear Park from Armstrong Avenue to Warner Avenue in Neighborhood D South. This project is part of the TLBIP. This project is designed in conjunction with the Armstrong Avenue and Warner Avenue pedestrian bridges and Neighborhood D South Phase 2 Improvements to address overlapping infrastructure elements. Rough grading of the park site includes initial elements of the pedestrian bridges and takes into account project boundaries and limits associated with the roadway improvements constructed as part of the Neighborhood D South Phase 2 Improvements project.



20084 Alley Grove Promenade - 2023-2024 Expended \$1,973,385

Alley Grove includes the design and construction of a 2-acre pedestrian connection from Armstrong Avenue to Tustin Ranch Road through Neighborhood D South at Tustin Legacy. This links the Flight office campus to the District shopping center. In addition, the project includes a sports area at the corner of Armstrong Avenue and Flight Way.

70257 Armstrong Pedestrian Bridge - 2023-2024 Expended \$1,697,610

Design and construction of a pedestrian bridge over Armstrong Avenue. This project is part of the Tustin Legacy Backbone Infrastructure Program. This project is designed in conjunction with the Tustin Legacy Linear Park in Neighborhood D South, the Warner Avenue pedestrian bridge, and Neighborhood D South Phase 2 Improvements to address overlapping infrastructure elements. The pedestrian bridge is split into two phases. The first phase includes rough grading, surcharge, and establishment of the structural mounds. The second phase will include final improvements associated with the bridge.

70260 Warner Avenue Pedestrian Bridge - 2023-2024 Expended \$593,012

Design and construction of a pedestrian bridge over Warner Avenue. This project is part of the Tustin Legacy Backbone Infrastructure Program. This project is designed in conjunction with the Tustin Legacy Linear Park in Neighborhood D South, the Armstrong Avenue pedestrian bridge, and Neighborhood D South Phase 2 Improvements to address overlapping infrastructure elements. The pedestrian bridge will be split into two phases. The first phase will include rough grading, surcharge, and establishment of the structural mounds. The second phase will include final improvements associated with the bridge.

Project Administration - \$156,185**Future Activity*****20083 Tustin Legacy Linear Park***

Design and construction of Tustin Legacy Linear Park from Armstrong Avenue to Warner Avenue in Neighborhood D South. This project is part of the Tustin Legacy Backbone Infrastructure Program. This project will be designed in conjunction with the Armstrong Avenue and Warner Avenue pedestrian bridges and Neighborhood D South Phase 2 Improvements to address overlapping infrastructure elements. Rough grading of the park site will include initial elements of the pedestrian bridges and will take into account project boundaries and limits associated with the roadway improvements constructed as part of the Neighborhood D South Phase 2 Improvements project.

70243 Tustin Ranch Road Pedestrian Bridge

Design and construction of a pedestrian bridge over Tustin Ranch Road. This project is part of the Tustin Legacy Backbone Infrastructure Program.

70257 Armstrong Avenue Pedestrian Bridge

Design and construction of a pedestrian bridge over Armstrong Avenue. This project is part of the Tustin Legacy Backbone Infrastructure Program. This project will be designed in conjunction with the Tustin Legacy Linear Park in Neighborhood D South, the Warner Avenue pedestrian bridge, and Neighborhood D South Phase 2 Improvements to address overlapping infrastructure elements. The pedestrian bridge will be split into two phases. The first



phase will include rough grading, surcharge, and establishment of the structural mounds. The second phase will include final improvements associated with the bridge.

70259 Neighborhood D North Phase 1

Design and construction of roadways, storm drain, and utility infrastructure to support the disposition of land in Neighborhood D North, which is bounded by Warner Avenue, Tustin Ranch Road, Moffett Drive, and Armstrong Avenue.

70260 Warner Avenue Pedestrian Bridge

Design and construction of a pedestrian bridge over Warner Avenue. This project is part of the Tustin Legacy Backbone Infrastructure Program. This project will be designed in conjunction with the Tustin Legacy Linear Park in Neighborhood D South, the Armstrong Avenue pedestrian bridge, and Neighborhood D South Phase 2 Improvements to address overlapping infrastructure elements. The pedestrian bridge will be split into two phases. The first phase will include rough grading, surcharge, and establishment of the structural mounds. The second phase will include final improvements associated with the bridge.

(Project number to be assigned) Neighborhood G Sports Park

Design and construct a sports park in Neighborhood G



Fund 577 - Voluntary Workforce Housing Incentive Program

History & Description

On August 11, 2018, Tustin City Council approved Ordinance 1491 that added Chapter 9B to the Tustin City Code entitled “**Voluntary Workforce Housing Incentive Program**”, requiring the provision of affordable housing, or in some instances, the payment of an in-lieu fee, where developers opt to construct residential uses within any existing or future-adopted specific plan area through the utilization of Residential Allocation Reservations (“RARs”).

Calculation

The contribution of fees is payable in accordance with Tustin City Code Chapter 9B BB923 (b)(c). Calculations of the fee are as follows:

	1.	2.
Per Unit Fee \$14,478 (calendar year 2023) AND Per Unit Fee \$14,984 (calendar year 2024)	Multiply the per unit fee by ½ of the number of base units provided on site.	Multiply the per unit fee by ½ the residential project’s total square feet of residential area.
	(Unit Fee) X (Base Units Provided On-site / 2)	(Unit Fee) X (Residential Project’s Total Square Feet of Residential Area / 2)

Fund Activity

	2023-2024 Actual
Beginning Balance	2,089,584
Revenue:	
Allocated Interest ¹	115,864
Inclusionary Housing Fee	101,346
Expenses:	
Projects	5,471
Ending Fund Balance	2,301,323

¹ Allocated Interest includes Unrealized Gain/Loss.

2023-2024 Projects

Families Forward - 2023-2024 Expended \$5,471

On November 7, 2023, the City Council approved a grant agreement between the City of Tustin Housing Authority and Families Forward in the amount of \$2,000,000 for the construction of six to eight affordable housing units. Council also appropriated an additional \$100,000 to cover the administrative costs of the project. The City will



disburse the grant funding when Families Forward completes the entitlements of the project within one year of the grant execution date. The project budget will be carried over into the 2024-2025 fiscal year, with an anticipated completion in 2025-2026.

Future Activity

Other than the Families Forward project, there are currently no other planned projects using Voluntary Workforce Housing Incentive funds.